

Students answer these questions at the end of class, before any solution is shown. The same skills return a few days later on the graded problem set with new numbers.

1. A worker chooses to work 2 extra hours instead of going to dinner with friends. What is the trade-off?
 - A. The worker gets more leisure.
 - B. The worker earns more income but gives up leisure time.
 - C. The worker faces no opportunity cost.
 - D. The worker avoids scarcity.
 2. Which statement is positive?
 - A. The government should lower rent.
 - B. Rent control is unfair to landlords.
 - C. Rent control reduces the quantity of rental housing supplied.
 - D. Housing is too expensive.
 3. Which factor is most important for deciding whether two products are in the same market?
 - A. Whether they have the same color
 - B. Whether they are close substitutes
 - C. Whether they are produced in the same country
 - D. Whether they have the same price
 4. A sandwich costs \$12 in 2026. The CPI in 2020 is 250 and the CPI in 2026 is 300. What is the 2026 sandwich price in 2020 dollars?
 - A. \$10
 - B. \$12
 - C. \$14.40
 - D. \$15
 5. **Quick check.** Which event causes a movement along the demand curve for coffee?
 - A. The price of coffee increases.
 - B. Student income increases.
 - C. Tea becomes more expensive.
 - D. Coffee becomes more popular during finals week.
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Answers and feedback

1. **B.** A trade-off means choosing more of one thing usually requires giving up something else. Here, the worker gains income but gives up leisure.
2. **C.** This is positive because it makes a prediction that can be tested with evidence. The other choices contain value judgments.
3. **B.** Products are more likely to be in the same market when consumers view them as close substitutes. Market definition depends on product boundaries and geographic boundaries.
4. **A.** Real price = $\$12 \times 250/300 = \10 . The sandwich costs \$12 in nominal 2026 dollars, but \$10 in 2020 dollars.
5. **A.** A change in the good's own price moves along the demand curve; the other events shift it.